

I think one of the reasons the US feels confident to escalate is they feel confident that they can just de-escalate. Like, at any moment, it's like, hey, let's just talk again, and they'll be like, okay. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation, and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing?

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Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional. Alright, welcome back to another

edition of the Daily Dots here on the Friday edition on July 17th, Chase Flying Solo with you to cap off the week.

I got a few things to talk about, but of course I will start with the markets. Kind of an ugly Friday out there, S&P closed down 1%. Equal weight was down 0.8. We had the queues down 1.5, small caps down 0.5%, Mac 7 down 1.8. Small world Xuriasse was down 0.8, even though the dollar was flat. As far as single names went inside of the Mac 7, nothing was up or down more than 3%.

So quiet though mostly negative, obviously the worst was a Tesla down 2.6. The two-year yield was up about four basis points, the rest of the curve pretty flat. Oil up another 3.5%. Front month WTI now up near 82. We had kind of been struggling to chew through the 80 area, so notable that we are up at about 82 now, close to it.

The December contract was up about 2.7, worth noting on positioning, the shorts have started to move out and a lot of people have been getting long, so that super asymmetric positioning tailwind that was kind of obviously going to happen, it started to engage itself, which means two things. That's good because you get some kind of non-fundamental demand, but two that means it's getting less asymmetric to the upside each time that furthers itself.

So that process has begun. Obviously from here it just depends on how open or closed the straight is and how much China is buying for the most part, those are the two big ones to watch. As for the straight at the moment, yesterday was the worst number of crossings we've had three weeks, so it's very much closed for now. And out of those crossings, all but one were done on the Iran side, not the Oman side.

The Oman lane is effectively closed at this point. Gasoline futures are up over 3% as well. Diesel thinking yesterday or today, I can't remember, went back about 5 a gallon nationwide, so product prices are still problematic. As far as metals went, you had gold up a little bit, about 0.7 silver flat, gold miners flat, the other metals were not great, platinum down over two, copper down over one.

Vaughn had a bit of a pop obviously as we had some downside in the market today, front month VIX of about 4% a little more, you're back above 19 now, we did just have the contract roll I think yesterday, spot VIX was actually up 12%, but I don't really care about spot VIX, honestly. As far as the leaders for much of the year, you had memory back in the green today, it had been only up 0.7, but you're down another two and change on semiconductors, which are

now down about 20% and memory is still down over 30%. Those two continued to be kind of a weight on the market, Mac 7, same thing, you had one really good day this week for Mac 7, but you're still in a draw down there, worse draw down than you are for the S&P, so it was a red week for Mac 7, kind of a red week for a lot of things, but see there's any single name stuff that's kind of worth pointing out today.

Ag stuff continues to be decent, uranium is something that continues to kind of struggle, but should be getting clinical system support, Adobe, which we talked about a good bit was up, but nothing spectacular there. One area we talked about a decent amount of refiners, very, very strong there, continue to make new highs, kind of back in the green on biotech, two red weeks in a row, finally kind of went straight up, so kind of digesting that, but up today, up about one and a half

and not normally a huge deal, but when the market itself is down one and you're up one and a half, that's definitely not nothing, another good day for energy, obviously with the price of oil kind of did bring energy with it. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security.

Any references to performance of securities are thought to be materially accurate and actual performance may differ. What I wanted to talk about today, kind of the obvious big news we have is kind of a deep-seek 2.0, if you will, Moonshot AI's new Kimmy model, really, really good. Maybe there is some copycatting involved in making that, but when you're scoring higher than the US frontier models in a lot of ways, or at least really close to beating them, it's

probably not all copycat, right? But from what I understand though, this model isn't super cheap and run on HootD chips or whatever, so it's still a huge story because Chinese models beating the best US models and it costs less to make or whatever, but still it's not like this thing's dirt cheap or something. That did shake up markets and even inside of China because one of their main AI plays

had been doing well the last few months, all of a sudden has to compete with another model builder in China, so they really struggled. Same in the US, it's probably one of the reasons we had Mac 7 down on the day, and speaking of which, SpaceX was down, let's look it up real quick, SpaceX closed down almost five and a half percent on the day. You've wiped out over a trillion dollars in value for SpaceX, and this thing just went

public barely over a month ago. It was down over five percent today, and that's despite getting headlines about them having negotiations with the Pentagon on some sort of compute contract. That's the kind of thing you would normally expect to pump a stock, especially one that is as popular with retail as obviously SpaceX is, so the fact that they pumped a good headline and then still finished down five percent really to me at least says a lot.

One other thing that I found worth mentioning, and I just wrote about it in one of my letters yesterday, it was New Zealand. New Zealand has been a stock market that has been really struggling the last few years, especially the last three years, the economy's been struggling. That recession last year, most of the world was doing pretty well last year, and they were in a recession, but all of a sudden it looks like cyclically the country is coming

back, they just did a bunch of rate cuts, obviously that's helping out property. They have a lot of different sectors picking up, the growth's picking up, they're going to have elections soon where all the candidates are talking about doing some fiscal stimulus, which all of a sudden they seem like they have the room to do their stock market. If you chart it on its own, it looks good. If you chart it versus the rest of the world, it looks good.

If you chart it versus the S&P, it's starting to look good, so just like a noteworthy little pocket of the world just after being brutal for weeks,

months, years, maybe a bit of a hidden growth story that people aren't paying attention to, that's worth thinking about. Obviously, I will update you on the straight before we get out of here, so this is going to be very short one this week. No major changes, obviously I mentioned very, very minimal crossings yesterday. You had another tanker get hit today. Like I said, the Oman route is basically dead

for now. They have chose to put a lot on keeping that closed, and so far they're doing it. We continue to hit civilian infrastructure. There was a lot of roads, bridges, rail, a lot of links from mainland to the islands outland, Kesham Island, near Bandar, Boston, things like that. Probably trying to take out resupply routes to some of the forward operating locations that Iran has out on that kind of peninsula and island area. I do see people speculating that that means ground troops are going to go in there soon,

that doesn't necessarily at all have to be the case, just them not being able to resupply drones and missiles closer to the strait on its own, makes sense without putting people on the ground. But I also can tell the authorities in Iran are nervous about something having on the ground because they keep making mention of it themselves, warning against it essentially. I have no idea if that's going to go that way. I still have to doubt that just because I'm so confident in how poorly it would go, and I have to believe the Pentagon

hopefully knows at least as much as I do about how that would go. So I don't really think it's going to go that way. But for now, we're stuck in this cycle of us hitting obviously a bunch of military targets, but now civilian infrastructure. The Iranians have reciprocated and hit bridges in the region. They have hit electrical facilities in the region, a faint desalination plant in the region. They have done a lot more damage to our bases. Some of the radar, maybe potentially some aircraft, definitely some support buildings in multiple different bases. They are warning

on an escalation against our naval assets, not really specific on what that would look like, but they have made that warning very explicit of late. And they're starting to talk about pivoting to offensive operations. So everything they've done to date, they've tried to make basically defensive, deterrent operations. They usually wait for us to do a certain type of target, and then they do that type of target. When we hit their bridges, they hit a bridge.

Things like that. So they're threatening to change tactics and go more offensive.

They framed it as like, if the US keeps hitting us for a few more days, then we're going to pivot to offensive. Maybe part of that is going to be the Baba Mandab Strait and the Red Sea. They continue to talk like they're going to potentially imminently shut that down. In the past, they have linked that to us hitting the power plants, and then they would activate that. Maybe they would do it for less. Who knows? They've kind of said that they're doing the preparations now, getting ready for it so far here on 2pm West Coast time on Friday.

Traffic seems to be normal going through there. They've said they've put out the warnings to ships. We'll see. Until the shipping gets disrupted, I think it's worth largely ignoring that. Now, I will say, if we do start hitting power plants this weekend, I would fully expect them to fall through and actually close the strait. So you have two straits closed with a very significant amount of oil that should be transported through both. One area of concern for me, and I think it is a very low probability, but high impact kind of situation is. I think one of the reasons the U.S.

feels confident to escalate is they feel confident that they can just de-escalate. In any moment, hey, let's just talk again, and they'll be like, okay. I do worry a little bit that we run the risk of getting to a point where, let's say, oil is 100 bucks, and we're just like, okay, well, this is not as fun, or they do some serious damage to something that we didn't really want to have damage done to, and we're like, all right, cool, let's have another meeting and it's a lot of bad and talk it out. And they just go, you know what, no thanks, and we're going to keep hitting

stuff. I think rightfully so in the U.S., we view that as low probability. I think we view it as, like, look, if we stop, they're going to stop. And I think that is the odds-on favorite, and I don't really have any pushback on that. But again, kind of piggybacking on what I was saying yesterday with markets. As markets are pricing in, something like that is zero. Like, you know, that we're like, hey, let's just talk. Let's say we start trying to job on prices back down by saying, oh, man, they're dying for a deal. They call, they won't have a meeting. Like, they want a deal.

There's a little bit of that this week, and the market ignored it, which, you know, I'll get the market credit for that. But more to the point, if you saw like significantly, you know, significant job on like the big Axios headline drop, it's like, wow, pieces imminent. And then, you know, Iran were to come out and be like, no, it's not and like bomb something meaningful. That's a scenario I don't think anyone has on their Bingo card. And again, I do think it is, I'll agree that it's very low probability, but it's, again, not zero,

maybe. They did come out and say, you know, are the times of, the time I was like doing war and negotiations kind of almost at the same time, like that's over. We're done with that, which to me means like, we're just going to do war. And if we're going to do negotiations, it's going to be like very far away from this setting, meaning I think, I think the intensity of the conflict would have to be gone for a while before there are meaningful talks. And a while, you know, it's kind of turning into dog years for the oil market, I think. Just we came into this

new round, you know, whatever two weeks ago, we can have to go. We came into that already with a lot less oil and a lot less product inventory than obviously where we entered the war. A lot less SPR. So just, I just think the stakes are higher in the second round. And I think the the leverage of energy prices is starting to build. And you could argue that Iran was kind of dumb to let that leverage go this last time to have the talks that may have been the genius behind saying, yeah, you want 300 billion, you know, to get them to actually stop so we can get a

bunch of oil out. I think we run the risk of them kind of seeing through that this next time and trying to make sure that they keep pressure even through talks on the economic side. For them, this is largely an economic war, you know, in a way that it's not in the same for us. And I think they kind of let their guard down on that side. And the first round of negotiations, and I'm not convinced they will let their guard down in the next round of negotiations on kind of letting the prices of energy go back. Now, the hard part for that is they also are going to

want to sell their own oil. If we do this for another month with the blockade, they'll be right back to really needing to offload some of that so

they don't have to shut in production all the way back down to one, two million barrels or whatever. So we'll see. There's something to think about. Two more things that I wanted to mention. One is just going to be a quote to leave you with. But one is something I read today is an interview with Eric Schmidt, formerly of Google. He's been doing a lot of defense work really for years now. He got involved with some really

important Pentagon work. I mean, it's been going on for a while now. I was still doing intelligence work actually whenever he started to do some of this work. He was very, very early in what was called DIUX back then, the Defense Innovation Unit, just called DIU Now, really helping small companies tap into the Pentagon and do really, really good work. A great mission. DIU is a great organization. I just appreciated him and his views on defense. Now he runs his own defense firm, I think so. But this is something he said that I just,

I was spot on and I wanted to read to everybody. He said, the arithmetic of war is fundamentally changing. The Russians are aiming to produce a thousand Shahad drones a day to fire against Ukraine while Lockheed Martin produced 600 Patriot interceptors all of last year. For all of what AI will do for warfare in the world, the gap has to be filled by investing in our industrial capacity and building the cheaper, abundant systems that have been shown to be so important by the war in Ukraine. American military doctrine is still organized around

exquisite, expensive platforms designed for a kind of conflict that is no longer the one being fought. That is a critical point. Almost everything we're doing now has nothing to do with the reality of now. He said, a great deal of current military spending is going to systems whose purpose, training pipelines and budgets are built on assumptions Ukraine has already disproven. The institutions have not yet acknowledged that the doctrines and resources no longer match the war. They will have to fight. I think this is an area where that pivot from

the way war used to be to the way the war is now. It has to be a fast, violent pivot and it cannot allow sacred cows. It cannot have too much inertia. It has to rip forward. Even in Ukraine, they just lost their, really impressive to me at least, defense minister because there's a fight between the new guard

and the old guard. The old guard apparently won the fight, which is completely asinine on Ukraine's part. I think this is a terrible mistake Sholensky made to not keep their very thoughtful, young, forward-looking defense minister who really was helping them

leave Soviet era thinking behind and just go flying forward into the future that is obviously staring us in the face. He said this is the greatest revolution in warfare history. We're at the very beginning of working out what it means and neither our political leaders nor our military have yet caught up with what is coming. I think it's bought on. I think you could have said this five, 10 years ago even, but you would hope between Ukraine and Iran that it's wildly obvious now. But I just thought that was worth reading because Eric Schmidt was just so squat on.

And what I'll leave you with is a quote from Second Andrew, from the Ed Thorpe book. The book is called A Man for All Markets. He said, he said, I want Claude Shannon. He said, Claude asked me to dinner if I thought anything would ever top this in my life. You've been on a great run, you know? He said, my thoughts then were much like I expected his to have been. That acknowledgement, applause, and honor are welcome and obsessed to life, but they're not ends to be pursued. I felt then as I do now that what matters is what you do and how you do it.

The quality of the time you spend and the people won't you share it with. And I'll leave it there for this week. We'll be back with more next week. Have a great weekend. Don't forget you can download, subscribe, and know your way to podcast.com. Check us out on YouTube and tell your friends. Cheers.

Thanks for watching.